The 2026 oil shock: what it means for procurement

Insight brief • Khoa Pham • November 2026

Headline. Brent crude rose from USD 64.5 to USD 123.9 per barrel between October 2025 and October 2026, up 92%. For a company spending EUR 100m across five typical logistics and indirect categories, the should-cost bill is **EUR 25.8m higher** than a year earlier. Three quarters of that sits in two categories.

1. Freight carries the shock, services barely notice it

Category	Share	Should-cost change, Oct 25 to Oct 26	Impact on EUR 100m
Ocean freight	25%	+43%	EUR 10.9m
Industrial chemicals	20%	+31%	EUR 6.3m
Road freight	20%	+26%	EUR 5.3m
Packaging	20%	+15%	EUR 2.9m
Facility services	15%	+3%	EUR 0.4m

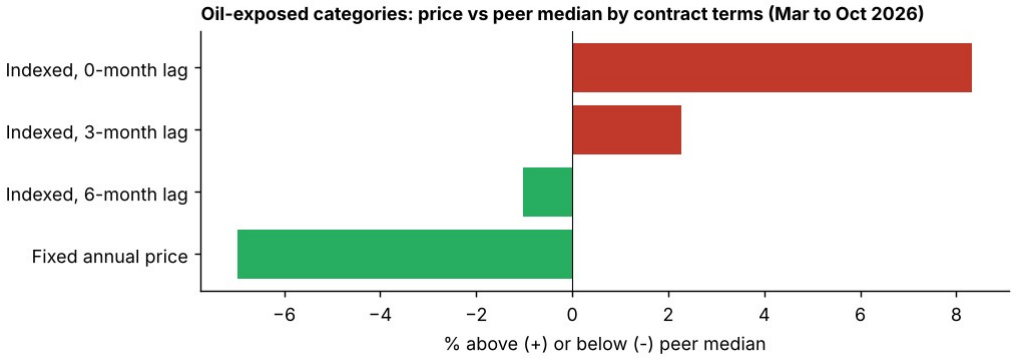
So what: focus negotiations and hedging on ocean freight and chemicals first; the rest of the cost base moves far less.

2. Price moves arrive about three months after oil

Across the peer group, the median price in every oil-exposed category tracks Brent best with a three-month lag. Chemicals are the most sensitive (a 10% oil move becomes about a 4% price move); ocean freight follows oil most closely.

So what: the September and October spike has not reached most invoices yet. Q1 2027 budgets should already include it.

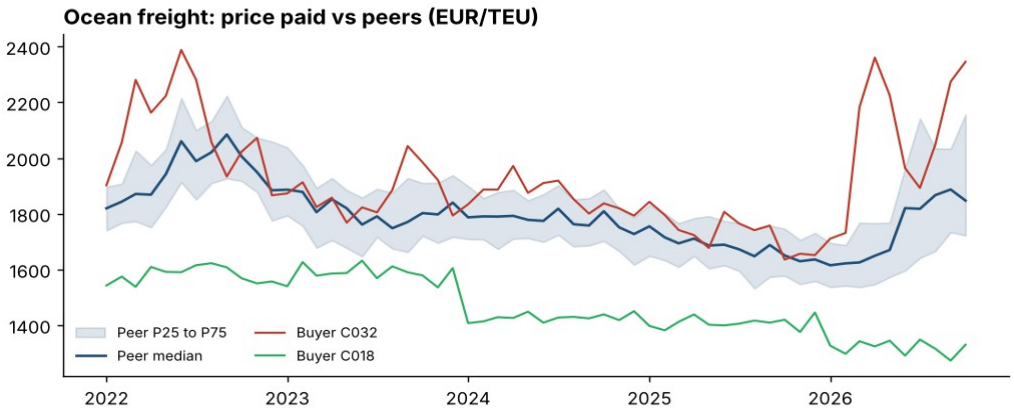
3. Contract design mattered as much as negotiating skill



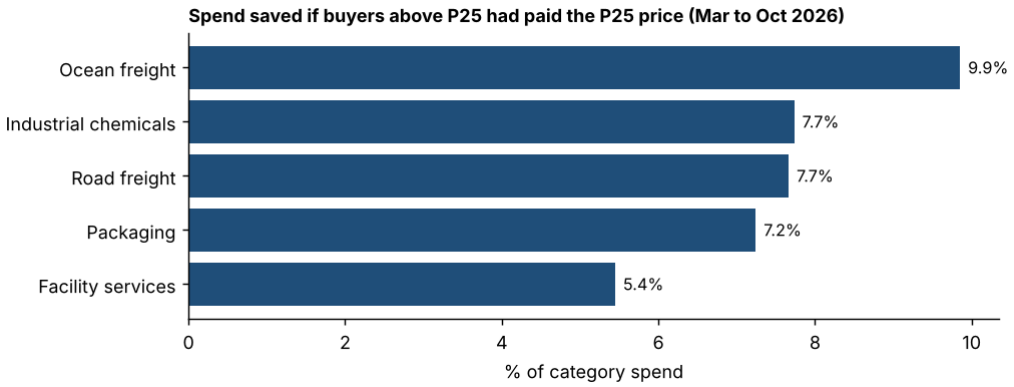
Between March and October 2026, buyers on fixed annual prices paid 7% below the peer median in oil-exposed categories, while buyers whose contracts passed index changes through immediately paid 8% above it.

So what: set indexation lags and caps deliberately, category by category. Fixed prices win in a rising market and lose when prices fall.

4. The gap between buyers is the savings opportunity



If every buyer above the peer 25th percentile had paid that price, spend would have been 5 to 10% lower, with ocean freight showing the widest spread (9.9%).



So what: a peer benchmark turns “are we paying too much?” into a number per category and shows where to renegotiate first.

Recommendations

1. Re-baseline 2027 budgets for freight and chemicals now: the autumn spike is still in the pipeline.

2. Review indexation clauses in oil-exposed contracts and set lags and caps on purpose.

3. Use peer benchmarks to prioritise renegotiation where you sit above the median, starting with ocean freight.

Data and method: monthly Brent, Henry Hub gas and US CPI are real public data. Purchase prices for 60 anonymised buyers are synthetic, generated from a should-cost model, so benchmark findings illustrate the method rather than real companies. Code: github.com/Minh-Khoa-Pham/procurement-price-benchmark